



Misaligned Incentives

The Economic Case Against Hourly Billing in Divorce Law

A PRINCIPAL-AGENT ANALYSIS OF ATTORNEY FEE STRUCTURES AND THEIR IMPACT
ON CLIENT OUTCOMES

Kynigos Law Firm, PLLC

Washington, DC · kynigos.law

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Executive Summary

When a divorce client hires an attorney who bills by the hour, they enter a relationship defined by a structural conflict of interest that economists have studied for half a century. The attorney profits from prolonging the very conflict the client hired them to resolve. This is not a matter of individual ethics or professional character. It is a mathematical certainty embedded in the fee structure itself.

This paper applies the tools of microeconomic theory, game theory, and behavioral economics to explain *why* hourly billing produces systematically worse outcomes for divorce clients, *how* the incentive misalignment operates at each stage of litigation, and *what* the empirical evidence shows about the magnitude of the resulting harm. We draw on foundational work in principal-agent theory (Ross, 1973; Holmström, 1979), formal models of attorney fee structures (Polinsky & Rubinfeld, 2003; Shepherd & Cloud, 1999), the credence goods literature (Dulleck & Kerschbamer, 2006), and behavioral economics research on cognitive impairment under financial stress (Mani et al., 2013).

The conclusion is unambiguous: alternative fee structures — particularly flat fees and properly designed hybrid arrangements — produce superior incentive alignment, faster case resolution, and measurably higher client satisfaction. The data shows flat-fee cases close nearly three times faster, and seventy-one percent of legal consumers prefer flat fees to hourly billing.

I. The Problem: A Textbook Principal-Agent Conflict

The principal-agent problem — first formalized by Stephen Ross in 1973¹ — arises whenever one party (the principal) delegates decision-making to another (the agent)

¹ Ross, S. (1973). “The Economic Theory of Agency: The Principal’s Problem.” *American Economic Review* 63(2), 134–139.



whose interests do not perfectly align with the principal's. Jensen and Meckling (1976) identified three categories of costs that result: monitoring costs borne by the principal, bonding costs borne by the agent, and a residual loss that neither party can eliminate.²

The attorney-client relationship exhibits all three with unusual intensity. The client (principal) cannot directly observe the quality or necessity of the attorney's work. The attorney (agent) possesses specialized knowledge that the client cannot independently verify. And the emotional circumstances of divorce — fear, anger, grief, financial anxiety — compromise the client's capacity to monitor the agent's performance even under the best conditions.

Two foundational papers from 1979 established the theoretical framework that governs this analysis. Shavell demonstrated the fundamental tension: optimal risk-sharing requires insulating the agent from outcome risk, but eliminating outcome risk also eliminates effort incentives.³ Holmström proved what he called the *Informativeness Principle* — that any performance measure correlated with the agent's effort should be incorporated into the compensation contract.⁴ Hourly billing violates this principle by compensating attorneys based on *input quantity* (hours billed) rather than any measure correlated with *output quality* (case outcomes, client welfare, or resolution efficiency).

II. The Mathematics of Misalignment

The most directly applicable formal model comes from Polinsky and Rubinfeld (2003), whose analysis in the *American Law and Economics Review* cleanly illustrates the distortions that arise under each fee structure.⁵

Under hourly billing, the attorney maximizes their own utility function:

² Jensen, M. & Meckling, W. (1976). "Theory of the Firm." *Journal of Financial Economics* 3(4), 305–360.

³ Shavell, S. (1979). "Risk Sharing and Incentives in the Principal and Agent Relationship." *Bell Journal of Economics* 10(1), 55–73.

⁴ Holmström, B. (1979). "Moral Hazard and Observability." *Bell Journal of Economics* 10(1), 74–91.

⁵ Polinsky, A.M. & Rubinfeld, D.L. (2003). "Aligning the Interests of Lawyers and Clients." *American Law and Economics Review* 5(1), 165–188.



$$U_{\text{attorney}} = w \cdot h - c(h)$$

where w is the hourly rate, h is hours worked, and $c(h)$ is the personal cost of effort. The first-order condition is:

$$\frac{\partial U}{\partial h} = w - c'(h) > 0 \quad \text{whenever } w > c'(h)$$

Since the hourly rate almost always exceeds the attorney's marginal discomfort of working an additional hour (particularly for associates whose salary is fixed regardless of hours billed), the attorney's privately optimal strategy is to work *more hours than the client would choose* if the client could observe the marginal value of each hour. This is the core moral hazard of hourly billing: the attorney profits from prolonging the engagement.

Under a flat fee, the attorney receives a fixed payment F regardless of hours invested. Utility becomes:

$$U_{\text{attorney}} = F - c(h)$$

Since the derivative with respect to hours is strictly negative:

$$\frac{\partial U}{\partial h} = -c'(h) < 0$$

the attorney minimizes effort. The moral hazard flips from overwork to underwork. However, this theoretical prediction is bounded by important real-world constraints: reputational capital, malpractice liability, and ethical obligations impose a quality floor below which the attorney cannot operate without professional consequences.

Under a contingency fee, the attorney maximizes:

$$U_{\text{attorney}} = p(h) \cdot \theta \cdot a - w \cdot h$$

where $p(h)$ is the probability of a favorable outcome as a function of effort, θ is the contingency fraction, and a is the total award. The first-order condition is:

$$p'(h) \cdot \theta \cdot a = w$$



Because $\theta < 1$ (the attorney takes only a fraction of the award), the attorney invests fewer hours than the client's optimum – the attorney bears 100% of the effort costs but receives only a fraction of the benefits. The moral hazard is moderate and runs toward early, efficient settlement.

The “no-conflict” system described by Polinsky and Rubinfeld achieves theoretical perfection. When the attorney bears the same fraction γ of costs as the fraction γ of the award received, the attorney maximizes:

$$U_{\text{attorney}} = \gamma [p(h) \cdot a - w \cdot h]$$

The first-order condition becomes:

$$p'(h) \cdot a = w \implies \text{identical to client optimum}$$

This condition is identical to the one a fully informed client would impose. **Perfect incentive alignment is achieved when cost-sharing equals reward-sharing.**

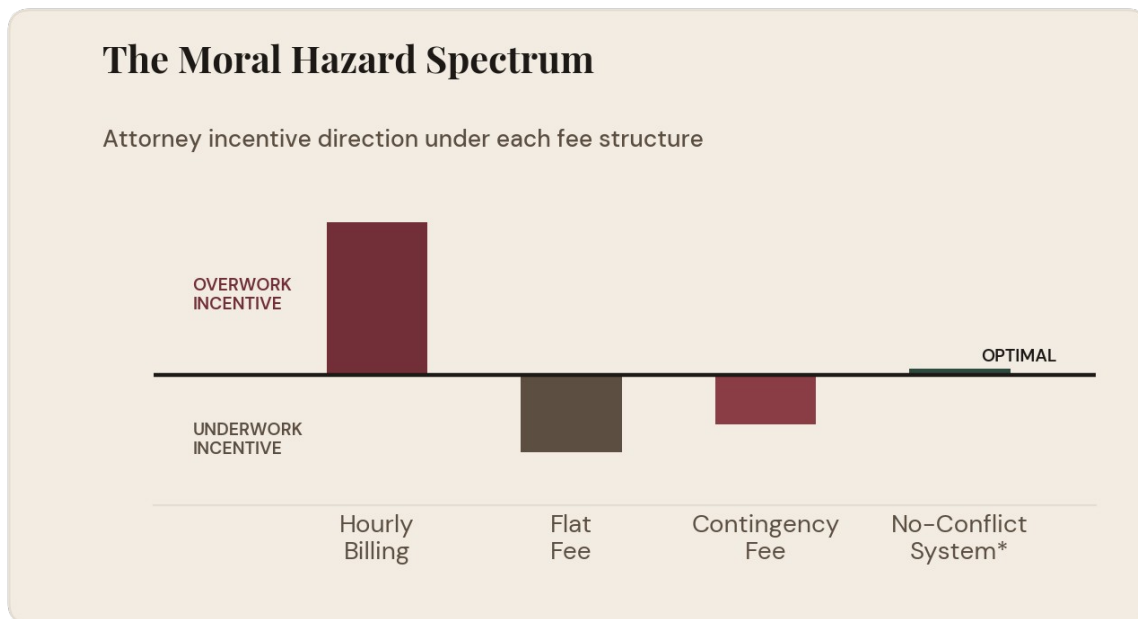


Figure 1. The Moral Hazard Spectrum: Attorney Incentive Direction by Fee Structure

Original figure. Model: Polinsky & Rubinfeld (2003).



III. Game Theory: Why Hourly Billing Sustains Inefficient Equilibria

The principal-agent models above describe bilateral relationships. Game theory extends the analysis to strategic interactions between attorneys on opposing sides of a divorce – and reveals why hourly billing produces a mutually reinforcing escalation dynamic.⁶

Geoffrey Miller’s 1987 analysis in the *Journal of Legal Studies* proved that under hourly fees, attorneys have rational incentives to reject reasonable settlement offers to generate additional billable hours.⁷ This is a Nash equilibrium strategy: neither attorney can unilaterally shift toward settlement-seeking behavior without jeopardizing their own income stream, even if both attorneys (and both clients) would be better off with an earlier resolution.

Garoupa and Gomez-Pomar (2008) identified an additional layer of incentive distortion specific to law firm organizational structure.⁸ Their dual-agency model shows that the individual attorney simultaneously serves two principals – the client and the law firm partnership – and hourly billing resolves the *intra-firm* agency problem even as it exacerbates the *attorney-client* one. Associates at large firms are evaluated on hours billed, not on case outcomes. Billing targets of 1,800 to 2,100 hours are standard at AmLaw 100 firms, creating a second moral hazard: associates must generate hours to advance their careers, independent of whether those hours serve their clients.

Emons and Fluet (2016) demonstrated a pattern with striking implications for family law.⁹ In their equilibrium model, plaintiffs’ attorneys rationally adopt contingent fees (aligning their interest in maximizing recovery) while defense attorneys adopt hourly

⁶ Shepherd, G.B. & Cloud, M. (1999). “Time and Money: Discovery Leads to Hourly Billing.” *University of Illinois Law Review* 1999(1), 91–167.

⁷ Miller, G. (1987). “Some Agency Problems in Settlement.” *Journal of Legal Studies* 16(1), 189–215.

⁸ Garoupa, N. & Gomez-Pomar, F. (2008). “Cashing by the Hour.” *Journal of Law, Economics, and Organization* 24(2), 458–475.

⁹ Emons, W. & Fluet, C. (2016). “Why Plaintiffs’ Attorneys Use Contingent and Defense Attorneys Fixed Fee Contracts.” *International Review of Law and Economics* 47, 23–31.



fees (profiting from resistance). In divorce, where both parties simultaneously attack and defend across custody, property, and support dimensions, hourly billing incentivizes attorneys on *both* sides to recommend more litigation rather than settlement — a mutually reinforcing escalation equilibrium that benefits the attorneys at the expense of both clients.

Santore and Viard (2001) showed that ethical restrictions on attorney fee structures — including the ABA’s prohibition on contingency fees in domestic relations — actually create economic rents for attorneys by preventing the market from reaching efficient contracting outcomes.¹⁰

IV. The Empirical Record: What Divorce Actually Costs

The theoretical models predict systematic overwork and overcharging under hourly billing. The empirical data confirms this prediction with striking consistency.

The Martindale-Nolo survey found the average divorce costs \$9,970–\$11,300 with full-scope hourly representation, with the median at approximately \$7,000.¹¹ But the data reveals a cost escalation pattern that tracks precisely with the opportunities hourly billing creates for additional work: contested divorces with alimony disputes average \$15,900, and cases that proceed to trial on multiple issues average \$23,300. At each escalation stage, the hourly attorney captures more revenue — the very dynamic the moral hazard models predict.

¹⁰ Santore, R. & Viard, A. (2001). “Legal Fee Restrictions, Moral Hazard, and Attorney Rents.” *Journal of Law and Economics* 44(2), 549–572.

¹¹ Martindale-Nolo (2019). Lawyers.com Survey of Divorce Costs.

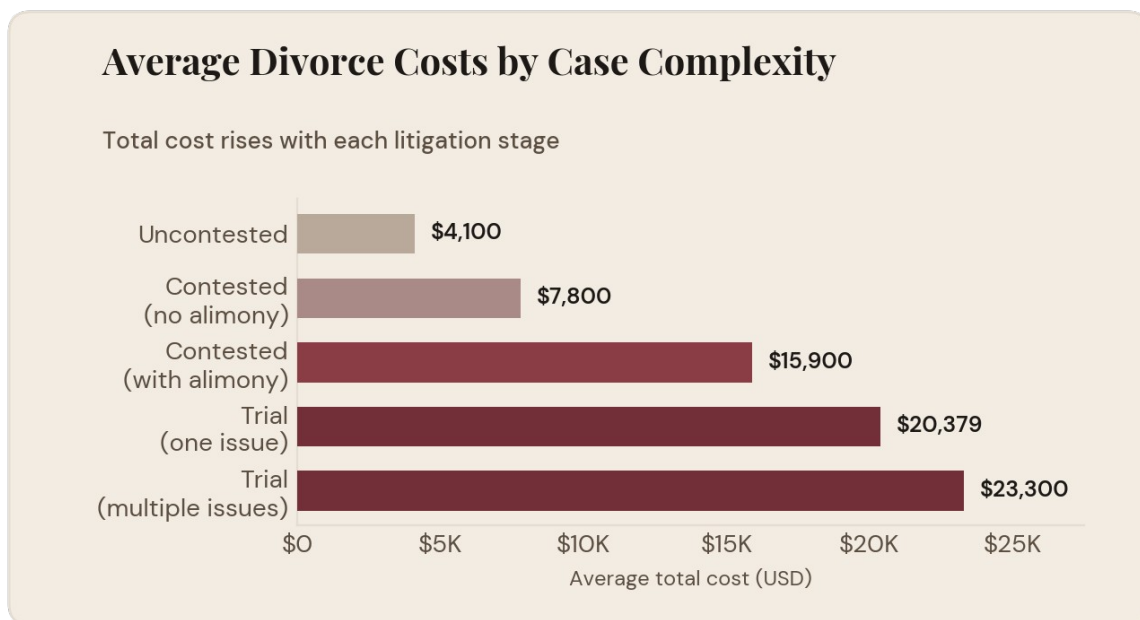


Figure 2. Average Divorce Costs by Case Complexity

Original figure. Data: Martindale–Nolo Survey (2019), Lawyers.com.

Average hourly rates for family law attorneys have climbed from approximately \$270 in 2019 to \$312 in 2023 to roughly \$349 in 2025.¹² The Thomson Reuters Law Firm Financial Index recorded rate increases of 7.2–7.4% year-over-year through 2025 — the most aggressive increases since the index began tracking in 2007, and substantially above general inflation.¹³

¹² Clio (2024–2025). *Legal Trends Report*. clio.com/resources/legal-trends.

¹³ Thomson Reuters (2025). *Law Firm Financial Index: Q1 2025*.

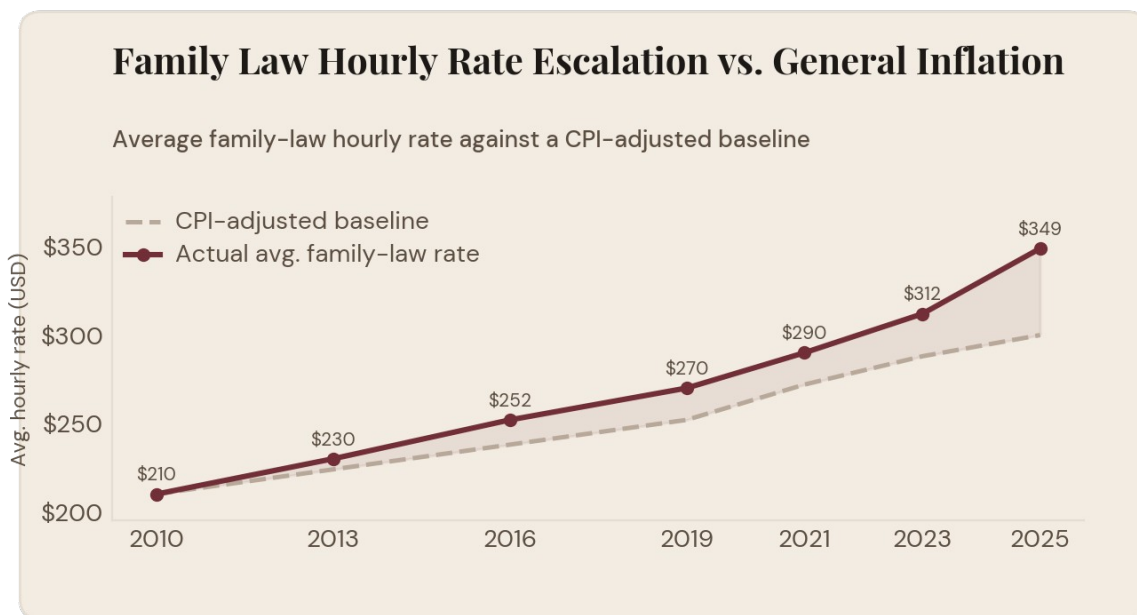


Figure 3. Family Law Hourly Rate Escalation vs. General Inflation (2010–2025)

Original figure. Data: Martindale–Nolo (2019), Clio Legal Trends (2021–2025), BLS CPI–U.

The structural incentives for overbilling are well-documented in the empirical literature. Fortney’s 2005 study surveyed attorneys at large firms and found that efficient associates are effectively penalized while those who inflate time entries receive raises and bonuses.¹⁴ The ABA Commission on Billable Hours concluded its two-year investigation by finding that many of the legal profession’s most pressing problems converge at the billable hour.¹⁵

The legal industry’s own operational metrics reveal the scope of the inefficiency. According to Clio’s multi-year analysis, the average lawyer bills only 2.6 to 3.0 hours of an eight-hour workday — meaning roughly 65% of the attorney’s time is consumed by administrative tasks, business development, and non-billable work. These overhead costs are ultimately passed to clients through inflated hourly rates.

¹⁴ Fortney, S.S. (2005). “The Billable Hours Derby.” *Fordham Urban Law Journal* 33(1), 171–192.

¹⁵ ABA Commission on Billable Hours (2002). Report of the Commission on Billable Hours.

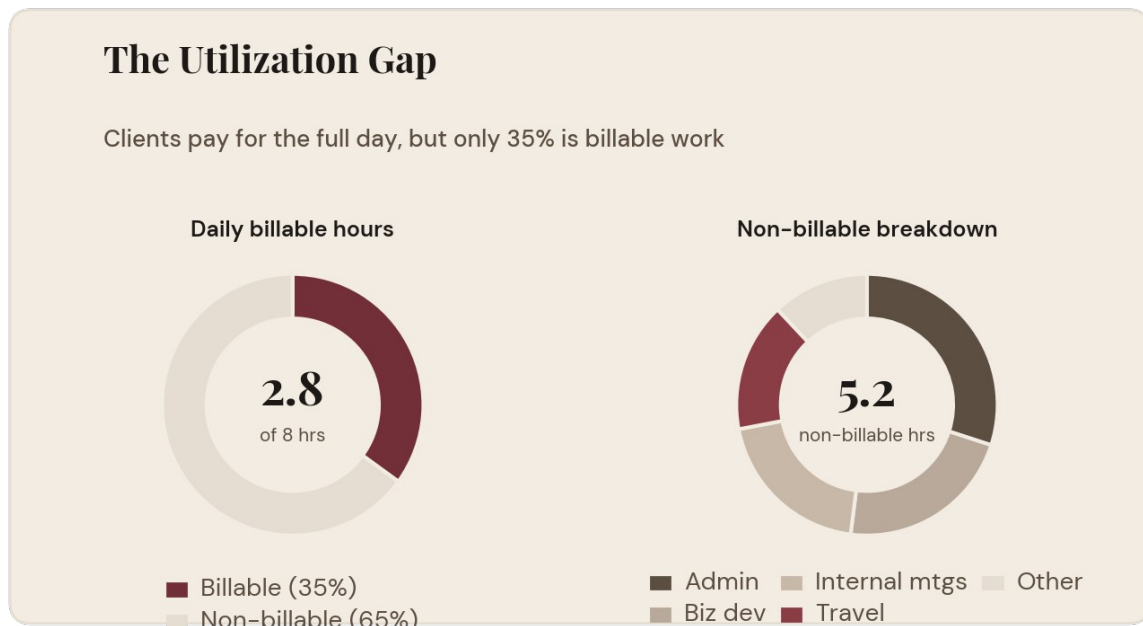


Figure 4. The Utilization Gap: Billable vs. Non-Billable Time

Original figure. Data: Clio Legal Trends Report (2024–2025).

V. Legal Services as Credence Goods

The information economics literature provides a precise framework for understanding *why* clients cannot protect themselves from overbilling. Darby and Karni (1973) introduced the concept of *credence goods* — goods whose quality the consumer cannot fully evaluate even after consumption.¹⁶ Legal services fit this definition with unusual precision: a divorce client can observe that their divorce was finalized, but cannot independently assess whether every motion filed, every discovery request served, and every court appearance was genuinely necessary.

Dulleck and Kerschbamer’s influential 2006 survey in the *Journal of Economic Literature* formalized three distinct forms of credence goods exploitation: **overtreatment** (providing more service than necessary), **undertreatment** (providing insufficient service), and

¹⁶ Darby, M. & Karni, E. (1973). “Free Competition and the Optimal Amount of Fraud.” *Journal of Law and Economics* 16(1), 67–88.



overcharging (billing for expensive service while providing cheap service).¹⁷ Under hourly billing for divorce, the dominant risk is overtreatment — filing discretionary motions, conducting marginal discovery, and escalating conflict rather than pursuing settlement.

Their subsequent experimental work with Sutter, published in the *American Economic Review*, found that **liability is the single most effective institutional check** on credence goods exploitation.¹⁸ But in family law, there is virtually no liability for overtreatment. No attorney faces malpractice claims for doing *too much* work on a client's behalf. The institutional safeguard that would normally constrain expert overtreatment is functionally absent.

Dana and Spier (1993) modeled the attorney as an expert who learns the true merits of a case only after engagement.¹⁹ Under contingency fees, the attorney's private information naturally aligns with the client's interest: weak cases are abandoned, strong cases pursued efficiently. Under hourly fees, the attorney has no economic incentive to reveal that a case is weak or that further litigation has negative expected value — because continuing generates fees regardless. Emons (2000) confirmed this result by treating the attorney-client relationship explicitly as a credence goods market.²⁰

VI. The Behavioral Economics of Divorce

The theoretical harm from misaligned incentives would be mitigated if clients could effectively monitor their attorneys and push back against unnecessary work. Behavioral economics explains why they cannot — and why divorce clients are among the most cognitively compromised consumers in any market.

¹⁷ Dulleck, U. & Kerschbamer, R. (2006). "On Doctors, Mechanics, and Computer Specialists." *Journal of Economic Literature* 44(1), 5–42.

¹⁸ Dulleck, U., Kerschbamer, R. & Sutter, M. (2011). "The Economics of Credence Goods." *American Economic Review* 101(2), 526–555.

¹⁹ Dana, J. & Spier (1993). "Expertise and Contingent Fees." *Journal of Law, Economics, & Organization* 9(2), 349–367.

²⁰ Emons, W. (2000). "Expertise, Contingent Fees, and Insufficient Attorney Effort." *International Review of Law and Economics* 20(1), 21–33.



Loss aversion is the dominant behavioral mechanism. Kahneman and Tversky's 1979 prospect theory demonstrated that losses are experienced approximately twice as intensely as equivalent gains.²¹ Guthrie (2003) applied this framework directly to litigation: parties defending assets or custody perceive themselves in the "loss domain," triggering risk-seeking behavior — a willingness to spend \$50,000 on litigation to avoid a perceived \$30,000 loss in settlement.²² Zamir (2012) documented this mechanism operating powerfully in property division and custody disputes.²³

The **sunk cost fallacy**, established by Arkes and Blumer (1985), creates escalating commitment.²⁴ Divorce clients who have already spent \$20,000 or more in legal fees feel psychologically unable to stop — the past investment seems to justify continued spending, despite this reasoning being economically irrational.

Most critically, financial and emotional stress directly impair the cognitive functions needed to evaluate legal advice. Mani, Mullainathan, Shafir, and Zhao demonstrated in *Science* that financial stress alone reduces cognitive performance by 13 to 14 IQ points — equivalent to moving from "average" to "borderline deficient" cognitive functioning.²⁵ Porcelli and Delgado (2009) found that acute stress further amplifies the reflection effect from prospect theory, making stressed individuals even more risk-seeking in loss domains.²⁶ Wilkinson-Ryan and Small (2008) applied these insights directly to divorce negotiations, showing that cognitive biases systematically distort bargaining outcomes when both parties are emotionally compromised.²⁷

²¹ Kahneman, D. & Tversky, A. (1979). "Prospect Theory." *Econometrica* 47(2), 263–292.

²² Guthrie, C. (2003). "Prospect Theory, Risk Preference, and the Law." *Northwestern University Law Review* 97(3), 1115–1163.

²³ Zamir, E. (2012). "Loss Aversion and the Law." *Vanderbilt Law Review* 65(3), 829–894.

²⁴ Arkes, H. & Blumer, C. (1985). "The Psychology of Sunk Cost." *Organizational Behavior and Human Decision Processes* 35(1), 124–140.

²⁵ Mani, A. et al. (2013). "Poverty Impedes Cognitive Function." *Science* 341(6149), 976–980.

²⁶ Porcelli, A. & Delgado, M. (2009). "Acute Stress Modulates Risk Taking." *Psychological Science* 20(3), 278–283.

²⁷ Wilkinson-Ryan, T. & Small, D. (2008). "Negotiating Divorce." *Law & Inequality* 26, 109.

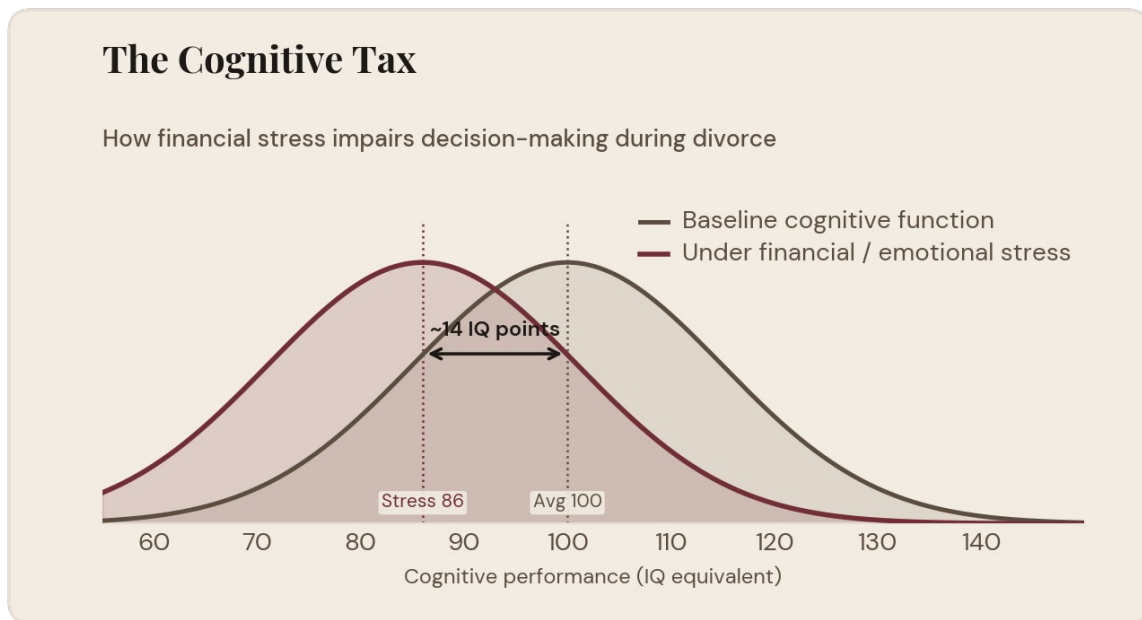


Figure 5. The Cognitive Tax: How Financial Stress Impairs Decision-Making During Divorce

Original figure. Based on Mani, Mullainathan, Shafir & Zhao (2013), *Science* 341(6149).

The combined effect constitutes a devastating cascade. The credence goods structure prevents quality evaluation. Emotional distress impairs judgment. Loss aversion drives excessive spending. Sunk costs create escalating commitment. Anchoring and status quo bias prevent course correction. And through every increment of this spiral, the hourly billing attorney profits from the client's constrained rationality.

VII. The Regulatory Landscape

ABA Model Rule 1.5(d)(1) prohibits contingency fees in domestic relations matters where the payment or amount is contingent upon securing a divorce or upon the amount of alimony, support, or property settlement.²⁸ Most states have adopted this prohibition. The traditional rationale reflects four concerns: that attorneys would have incentives to oppose reconciliation; that emotionally vulnerable parties cannot assess contingency risks; that contingency percentages would reduce court-intended support awards; and

²⁸ ABA Model Rule 1.5(d)(1), Rules of Professional Conduct.



that courts can order the wealthier spouse to pay attorney fees, making contingency arrangements unnecessary.

These rationales face growing scholarly criticism. Potter (2021) argued in the *Yale Law Journal Forum* that the prohibition is a vestige of the coverture regime, from an era when men controlled marital property and women petitioned courts for “suit money.”²⁹ Emendorfer (2024) documented the prohibition’s disparate impact on domestic violence survivors, noting that the vast majority also experience financial abuse — precisely the population that cannot afford hourly rates.³⁰

Notable exceptions exist. The District of Columbia explicitly permits contingency fees in domestic relations matters, reasoning that access to justice outweighs speculative policy concerns.³¹ Texas uses “rarely justified” rather than prohibitory language.

Flat fees face no such restrictions. They are permitted in every United States jurisdiction, subject only to the general reasonableness requirement of Rule 1.5(a). This makes flat-fee divorce practice an immediately available alternative that eliminates the hourly billing moral hazard without implicating any ethical prohibition.

VIII. The Alternative: Measurable Gains from Incentive Alignment

The empirical evidence on alternative fee arrangements confirms the theoretical predictions. Helland and Tabarrok found that time to settlement is approximately 22% shorter under non-hourly fee arrangements, that case attrition rates are lower, and that legal quality improves because attorneys have incentives to screen for meritorious cases at intake rather than accepting all matters and billing regardless of merit.³²

²⁹ Potter, N. (2021). “Ridding the Family-Law Canon of the Relics of Coverture.” *Yale Law Journal Forum* 296.

³⁰ Emendorfer, M. (2024). “Contingency Fee Bans for Divorce Proceedings.” *Minnesota Journal of Law & Inequality Blog*.

³¹ DC Bar Rule 1.5. Rules of Professional Conduct: Fees.



Clio's multi-year analysis of legal industry data shows that flat-fee cases close nearly three times faster than hourly cases. Attorneys using flat fees are five times more likely to bill immediately upon case conclusion and twice as likely to collect payment without delay. Client satisfaction scores increase by as much as 30% when firms adopt alternative fee arrangements, according to ABA research.

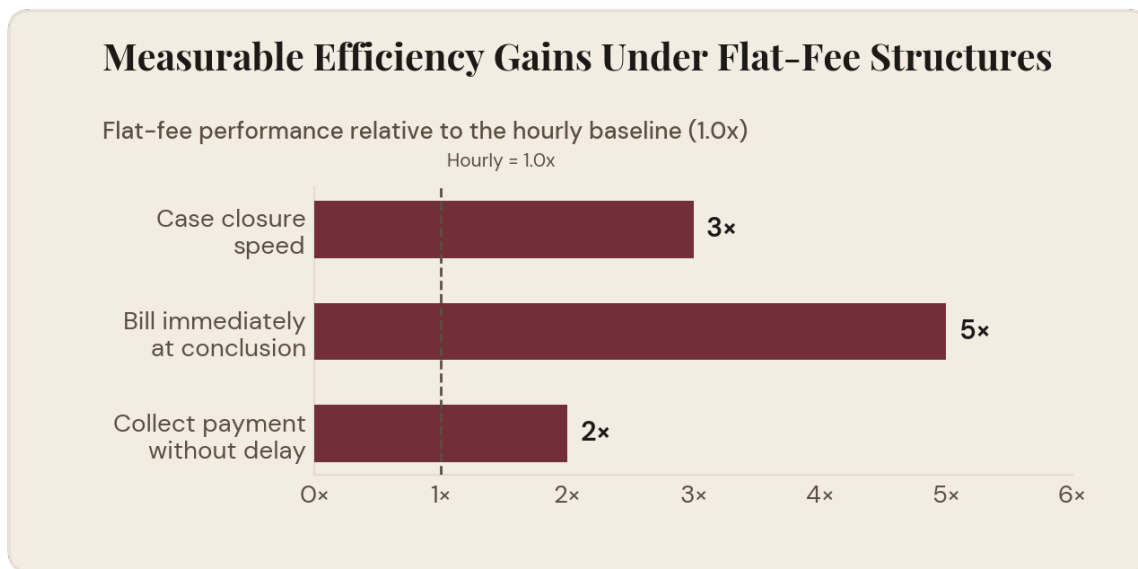


Figure 6. Measurable Efficiency Gains Under Flat-Fee Structures

Original figure. Data: Clio Legal Trends Report (2024), ABA Client Satisfaction Research.

Perhaps most tellingly, clients overwhelmingly prefer the alternative. The Clio 2024 Legal Trends Report found that 71% of legal consumers would prefer to pay a flat fee for their entire case. The gap between what clients want and what the industry offers — a function of the industry's own rational preference for the more profitable hourly model — represents a significant market failure.

³² Helland, E. & Tabarrok, A. (2003). "Contingency Fees, Settlement Delay, and Low-Quality Litigation." *Journal of Law, Economics, and Organization* 19(2), 517–542.

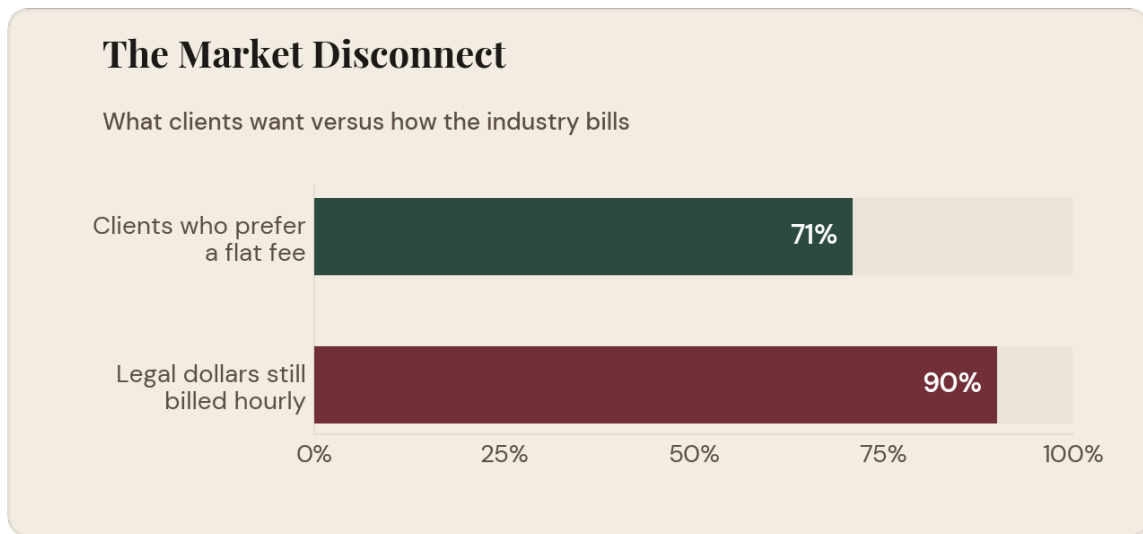


Figure 7. The Market Disconnect: Client Preference vs. Industry Practice

Original figure. Data: Clio 2024 Legal Trends Report.

IX. Conclusion

The economic analysis is unambiguous. Hourly billing in divorce law creates a textbook principal-agent problem in which the attorney's financial incentives run directly counter to the client's interests. The mathematical models show that the attorney's privately optimal effort level under hourly billing systematically exceeds the client's optimum. The game-theoretic analysis reveals mutually reinforcing escalation dynamics when both attorneys bill hourly. The credence goods framework explains why clients cannot detect or prevent overtreatment. And the behavioral economics literature demonstrates that divorce clients are among the least equipped consumers in any market to protect themselves from exploitation.

Alternative fee structures — flat fees in particular — eliminate the most damaging incentive distortions. They transform the attorney from a rent-seeking agent whose income depends on prolonging conflict into an aligned partner whose efficiency is rewarded rather than penalized. The empirical evidence confirms faster resolution, higher satisfaction, and improved access to representation.



The question is not whether the economics support alternative billing. The literature is settled on that point. The question is why so much of the legal industry continues to operate under a fee structure that its own professional associations have identified as problematic, that its clients overwhelmingly reject, and that half a century of economic research has shown to be structurally misaligned with the interests it purports to serve.

NOTE ON FIGURES

All figures in this white paper were created by the author using original code (Python / matplotlib). No figures were copied from external sources. Data sources for each figure are cited in the figure caption. Formulas were typeset in the Computer Modern typeface.

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